



CIMA STRATEGIC CASE STUDY

Mock Exam 5

Rotomyne

Unseen

Task 1 - Unseen case material (60 minutes)

You receive the following email from Martin Jacobs, Chief Financial Officer of Rotomyne.

From: Martin Jacobs, Chief Finance Officer

To: Senior Finance Manager

Subject: Input Needed on Environmental Initiative

Hi,

We're facing increased scrutiny on our environmental practices in Virovia, where we operate one of our brine mines, and the Board is considering a rehabilitation project to address these concerns. Please see the attached board meeting summary for further details.

I need your assistance with the following.

- Firstly, evaluate the reputational and operational risks associated with this rehabilitation project and advise on an appropriate risk mitigation strategy.

[sub-task (a) = 55%]

- Secondly, evaluate potential financing options, such as green bonds or other sustainable funding sources, and recommend the best approach that aligns with both our sustainability goals and financial stability.

[sub-task (b) = 45%]

Thanks,

Martin Jacobs

Chief Finance Officer

Reference material

Board meeting summary: Environmental rehabilitation project proposal

The Board recently reviewed a proposal for an environmental rehabilitation project in Virovia, a region where Rotomyne operates a brine mine. The project aims to improve our environmental footprint and address ongoing stakeholder concerns. This area has experienced significant environmental degradation due to water usage and salt accumulation from mining, leading to reputational challenges for Rotomyne in recent years.

Recent feedback from both local communities and international investors highlights the need for Rotomyne to demonstrate a more proactive environmental stance. The project is expected to improve relationships with local communities and may attract ESG-focused investors, particularly as public scrutiny of mining practices continues to rise.

The rehabilitation work in Virovia poses several logistical challenges, including limited access to fresh water, potential seasonal water scarcity, and regulatory hurdles related to environmental restoration. Additionally, transporting the necessary equipment and materials to this remote site could add to project delays and escalating costs, impacting the project's overall viability and increasing the risk of negative publicity if issues arise.

The CFO, Martin Jacobs, proposed green bonds as a financing mechanism. Green bonds are debt instruments specifically designated for environmentally beneficial projects and tend to attract investors focused on sustainability. These investors often accept lower yields in exchange for supporting eco-friendly initiatives, making this approach potentially advantageous for Rotomyne by providing both funding and enhanced credibility.

Other financing options discussed include traditional corporate bonds, grants from the Porrland Environmental Development Fund (which could provide partial funding if certain eligibility criteria are met), and sustainability-linked loans. Sustainability-linked loans offer variable interest rates based on the borrower's achievement of predefined sustainability targets, which may align well with our long-term goals.

The project is projected to cost approximately P\$40 million, with an expected timeline of two years to complete. The initiative would improve Rotomyne's brand image, help us meet international environmental standards, and reduce long-term liability risks associated with environmental degradation in Virovia.

Task 2 - Unseen case material (60 minutes)

You receive the following email from Shaista Shameem, CEO of Rotomyne.

From: Shaista Shameem, Chief Executive Officer

To: Senior Finance Manager

Subject: Advice on Proposed Educational Initiative

Hi,

I wanted your input on a potential new initiative. We're exploring a partnership with the Global Environmental Education Network (GEEN) to launch an educational programme aimed at students in mining-affected regions. Alongside promoting environmental awareness, this programme could also help Rotomyne attract young talent from these communities, positioning us as an employer of choice in the mining industry.

I need your help with the following matters:

- Firstly, evaluate the strategic benefits and challenges of implementing this educational programme as a talent pipeline initiative, with particular emphasis on Rotomyne's industry positioning and alignment with our environmental values.

[sub-task (a) = 55%]

- Secondly, assess how this programme could impact Rotomyne's business environment, including any competitive, regulatory, or economic factors, and recommend adjustments to enhance its effectiveness.

[sub-task (b) = 45%]

Thanks for your insights,

Shaista Shameem
Chief Executive Officer

Reference material

Memo from Cecilia Battistelli, Human Resources Director

Subject: Update on Proposed Educational Partnership with GEEN

Following discussions with the Board, I wanted to update you on our proposed partnership with the Global Environmental Education Network (GEEN) to launch an educational programme in the mining regions of Dromera and Latvia. The goal is not only to promote environmental stewardship but also to establish Rotomyne as a top employer among local communities, potentially providing a pipeline for future technical roles.

GEEN will conduct workshops in schools and universities, covering sustainable mining, resource management, and technology in eco-friendly industries. As part of this, Rotomyne will offer scholarships in environmental science and engineering and create internships at our facilities to give students practical experience.

The estimated annual budget is P\$2.5 million, allocated to workshops, scholarships, and staffing. The programme is expected to roll out over three years, starting in Dromera and Latvia, but we may need flexibility depending on region-specific challenges. For example, some areas may have regulatory restrictions on corporate-led education programmes, and travel limitations could affect our ability to implement the programme consistently.

It should be noted that there may be competition from other employers in these regions with similar programmes. Additionally, some regions have restrictions on corporate involvement in educational programmes.

Regards,

Cecilia Battistelli
Human Resources Director

Task 3 - Unseen case material (60 minutes)

You receive the following email from Martin Jacobs, Chief Finance Officer of Rotomyne.

From: Martin Jacobs, Chief Finance Officer
To: Senior Finance Manager
Subject: Compliance and Reporting Controls

Hi,

Our recent internal audit identified some inconsistencies in environmental compliance reporting, particularly regarding data from our regional sites. These discrepancies could pose reputational risks if not addressed. We need to reinforce our reporting controls to ensure consistent and accurate compliance information across the company.

Please provide your thoughts on the following.

- Firstly, evaluate the current weaknesses in our control environment that could be causing these inconsistencies and recommend measures to strengthen transparency and accuracy in our environmental reporting.

[sub-task (a) = 60%]

- Secondly, assess the impact of increasing stakeholder expectations for ethical compliance on our business environment and recommend any adjustments needed to align our practices with these expectations.

[sub-task (b) = 20%]

- Lastly, advise on how we might leverage stronger compliance controls as part of a broader strategy to enhance Rotomyne's reputation and appeal to socially responsible investors.

[sub-task (c) = 20%]

Thank you for your assistance,

Martin Jacobs
Chief Finance Officer

Reference material

Internal memo: Environmental Compliance Audit Summary

The recent internal audit of Rotomyne's environmental compliance controls found several areas needing improvement in data consistency and transparency. These issues seem to stem from differences in how environmental data is collected and reported at our various regional sites compared to head office standards. This lack of alignment has resulted in discrepancies that could potentially misrepresent our compliance standing.

Key findings

- Some regional sites are using outdated methods and metrics that differ from the standards established at headquarters.
- Environmental data is often managed locally without clear guidance from head office, resulting in variations across sites. Differences in local regulatory standards between regions add further complexity to reporting.
- Regular compliance audits are not conducted across all regional sites, reducing the ability to identify and address compliance gaps proactively.

Recommendations from the Audit Team

- Establish a central database for all compliance data, ensuring standardisation across regional sites.
- Implement quarterly training sessions for regional compliance teams on current reporting standards and data collection methods.
- Consider designating compliance liaisons at each regional site to ensure alignment with head office standards and improve cross-departmental communication.

The audit team noted that addressing these issues would support a more consistent and transparent approach to compliance data across all sites.

Present value tables

Present value of US\$1 i.e. $(1 + r)^{-n}$ where r = interest rate, n = number of periods until payment or receipt.

Periods (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	.990	.980	.971	.962	.962	.943	.935	.926	.917	.909
2	.980	.961	.943	.925	.907	.890	.873	.857	.842	.826
3	.971	.942	.915	.889	.864	.840	.816	.794	.772	.751
4	.961	.924	.888	.855	.823	.792	.763	.735	.708	.683
5	.951	.906	.863	.822	.784	.747	.713	.681	.650	.621
6	.942	.888	.837	.790	.746	.705	.666	.630	.596	.564
7	.933	.871	.813	.760	.711	.665	.623	.583	.547	.513
8	.923	.853	.789	.731	.677	.627	.582	.540	.502	.467
9	.914	.837	.766	.703	.645	.592	.544	.500	.460	.424
10	.905	.820	.744	.676	.614	.558	.508	.463	.422	.386
11	.896	.804	.722	.650	.585	.527	.475	.429	.388	.350
12	.887	.788	.701	.625	.557	.497	.444	.397	.356	.319
13	.879	.773	.681	.601	.530	.469	.415	.368	.326	.290
14	.870	.758	.661	.577	.505	.442	.388	.340	.299	.263
15	.861	.743	.642	.555	.481	.417	.362	.315	.275	.239
16	.853	.728	.623	.534	.458	.394	.339	.292	.252	.218
17	.844	.714	.605	.513	.436	.371	.317	.270	.231	.198
18	.836	.700	.587	.494	.416	.350	.296	.250	.212	.180
19	.828	.686	.570	.475	.396	.331	.277	.232	.194	.164
20	.820	.673	.554	.456	.377	.312	.258	.215	.178	.149
Periods (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	.901	.893	.885	.877	.870	.862	.855	.847	.840	.833
2	.812	.797	.783	.769	.756	.743	.731	.718	.706	.694
3	.731	.712	.693	.675	.658	.641	.624	.609	.593	.579
4	.659	.636	.613	.592	.572	.552	.534	.516	.499	.482
5	.593	.567	.543	.519	.497	.476	.456	.437	.419	.402
6	.535	.507	.480	.456	.432	.410	.390	.370	.352	.335
7	.482	.452	.425	.400	.376	.354	.333	.314	.296	.279
8	.434	.404	.376	.351	.327	.305	.285	.266	.249	.233
9	.391	.361	.333	.308	.284	.263	.243	.225	.209	.194
10	.352	.322	.295	.270	.247	.227	.208	.191	.176	.162
11	.317	.287	.261	.237	.215	.195	.178	.162	.148	.135
12	.286	.257	.231	.208	.187	.168	.152	.137	.124	.112
13	.258	.229	.204	.182	.163	.145	.130	.116	.104	.093
14	.232	.205	.181	.160	.141	.125	.111	.099	.088	.078
15	.209	.183	.160	.140	.123	.108	.095	.084	.074	.065
16	.188	.163	.141	.123	.107	.093	.081	.071	.062	.054
17	.170	.146	.125	.108	.093	.080	.069	.060	.052	.045
18	.153	.130	.111	.095	.081	.069	.059	.051	.044	.038
19	.138	.116	.098	.083	.070	.060	.051	.043	.037	.031
20	.124	.104	.087	.073	.061	.051	.043	.037	.031	.026

Cumulative present value tables

This table shows the Present Value of US\$1 per annum, Receivable or Payable at the end of each year for n years

$$\frac{1 - (1+r)^{-n}}{r}$$

Periods (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.990	0.980	0.971	0.962	0.952	0.943	0.935	0.926	0.917	0.909
2	1.970	1.942	1.913	1.886	1.859	1.833	1.808	1.783	1.759	1.736
3	2.941	2.884	2.829	2.775	2.723	2.673	2.624	2.577	2.531	2.487
4	3.902	3.808	3.717	3.630	3.546	3.465	3.387	3.312	3.240	3.170
5	4.853	4.713	4.580	4.452	4.329	4.212	4.100	3.993	3.890	3.791
6	5.795	5.601	5.417	5.242	5.076	4.917	4.767	4.623	4.486	4.355
7	6.728	6.472	6.230	6.002	5.786	5.582	5.389	5.206	5.033	4.868
8	7.652	7.325	7.020	6.733	6.463	6.210	5.971	5.747	5.535	5.335
9	8.566	8.162	7.786	7.435	7.108	6.802	6.515	6.247	5.995	5.759
10	9.471	8.983	8.530	8.111	7.722	7.360	7.024	6.710	6.418	6.145
11	10.368	9.787	9.253	8.760	8.306	7.887	7.499	7.139	6.805	6.495
12	11.255	10.575	9.954	9.385	8.863	8.384	7.943	7.536	7.161	6.814
13	12.134	11.348	10.635	9.986	9.394	8.853	8.358	7.904	7.487	7.103
14	13.004	12.106	11.296	10.563	9.899	9.295	8.745	8.244	7.786	7.367
15	13.865	12.849	11.938	11.118	10.380	9.712	9.108	8.559	8.061	7.606
16	14.718	13.578	12.561	11.652	10.838	10.106	9.447	8.851	8.313	7.824
17	15.562	14.292	13.166	12.166	11.274	10.477	9.763	9.122	8.544	8.022
18	16.398	14.992	13.754	12.659	11.690	10.828	10.059	9.372	8.756	8.201
19	17.226	15.679	14.324	13.134	12.085	11.158	10.336	9.604	8.950	8.365
20	18.046	16.351	14.878	13.590	12.462	11.470	10.594	9.818	9.129	8.514
Periods (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	0.901	0.893	0.885	0.877	0.870	0.862	0.855	0.847	0.840	0.833
2	1.713	1.690	1.668	1.647	1.626	1.605	1.585	1.566	1.547	1.528
3	2.444	2.402	2.361	2.322	2.283	2.246	2.210	2.174	2.140	2.106
4	3.102	3.037	2.974	2.914	2.855	2.798	2.743	2.690	2.639	2.589
5	3.696	3.605	3.517	3.433	3.352	3.274	3.199	3.127	3.058	2.991
6	4.231	4.111	3.998	3.889	3.784	3.685	3.589	3.498	3.410	3.326
7	4.712	4.564	4.423	4.288	4.160	4.039	3.922	3.812	3.706	3.605
8	5.146	4.968	4.799	4.639	4.487	4.344	4.207	4.078	3.954	3.837
9	5.537	5.328	5.132	4.946	4.772	4.607	4.451	4.303	4.163	4.031
10	5.889	5.650	5.426	5.216	5.019	4.833	4.659	4.494	4.339	4.192
11	6.207	5.938	5.687	5.453	5.234	5.029	4.836	4.656	4.486	4.327
12	6.492	6.194	5.918	5.660	5.421	5.197	4.968	4.793	4.611	4.439
13	6.750	6.424	6.122	5.842	5.583	5.342	5.118	4.910	4.715	4.533
14	6.982	6.628	6.302	6.002	5.724	5.468	5.229	5.008	4.802	4.611
15	7.191	6.811	6.462	6.142	5.847	5.575	5.324	5.092	4.876	4.675
16	7.379	6.974	6.604	6.265	5.954	5.668	5.405	5.162	4.938	4.730
17	7.549	7.120	6.729	6.373	6.047	5.749	5.475	5.222	4.990	4.775
18	7.702	7.250	6.840	6.467	6.128	5.818	5.534	5.273	5.033	4.812
19	7.839	7.366	6.938	6.550	6.198	5.877	5.584	5.316	5.070	4.843
20	7.963	7.469	7.025	6.623	6.259	5.929	5.628	5.353	5.101	4.870